

Annual Report on Form 10-K

Atlas Semiconductor, Inc. (NASDAQ: ATLS)

For the fiscal year ended December 31, 2024

SYNTHETIC SAMPLE DOCUMENT. This is a fictional company and every figure below is invented for testing purposes. This report is provided as a synthetic example and has not been reviewed by the Securities and Exchange Commission (SEC) or any auditor.

Item 7. Management's Discussion and Analysis

Total revenue was \$2,146 million for the fiscal year covered by this report, an increase of 18% compared with \$1,824 million in the comparable prior-year period. Growth reflected higher customer demand across our principal operating segments.

Gross margin was 51.8% for the period, compared with 49.2% in the comparable prior-year period, reflecting changes in product mix, operating scale, and cost management initiatives.

Operating income was \$386 million, compared with \$291 million in the comparable prior-year period. Operating expenses increased as we continued investing in technology, personnel, and growth initiatives.

Net income was \$302 million, compared with \$231 million in the comparable prior-year period.

Segment Results

Revenue and operating income by reportable segment for the period were as follows.

Segment	Period Revenue	Prior-Year Revenue	Period Operating Income
Industrial Chips	1,342	1,098	267
Automotive Systems	524	472	79
Edge Computing	280	254	40

Industrial Chips was the largest segment by revenue, contributing \$1,342 million during the period.

Consolidated Balance Sheets

Item	December 31, 2024	December 31, 2023
Total current assets	741,600	622,400
Total assets	2,684,500	2,311,800
Total current liabilities	402,700	361,900
Total liabilities	918,400	812,700
Total stockholders' equity	1,766,100	1,499,100

Total assets were \$2,684,500 thousand and total stockholders' equity was \$1,766,100 thousand at the end of the reporting period.

Consolidated Statements of Cash Flows

Net cash provided by operating activities was \$463 million, compared with \$352 million in the comparable prior-year period. Net cash used in investing activities was \$214 million, while net cash used in financing activities was \$61 million.

Item 1A. Risk Factors

Demand for semiconductor components depends on capital spending by electronics and industrial customers. A reduction in customer orders could reduce utilization and pressure gross margins.

We rely on specialized foundry and packaging partners for certain advanced components. Capacity constraints or quality issues could delay shipments and increase costs.

Our international operations expose results to foreign exchange movements and changing trade requirements.

Item 9A. Controls and Procedures

Based on an evaluation as of the end of the period covered by this report, management concluded that the company's disclosure controls and procedures were effective. No change in internal control over financial reporting occurred during the reporting period that has materially affected, or is reasonably likely to materially affect, internal control over financial reporting.